

Fearnleys Dry Bulk Weekly

Nov 19, 2024

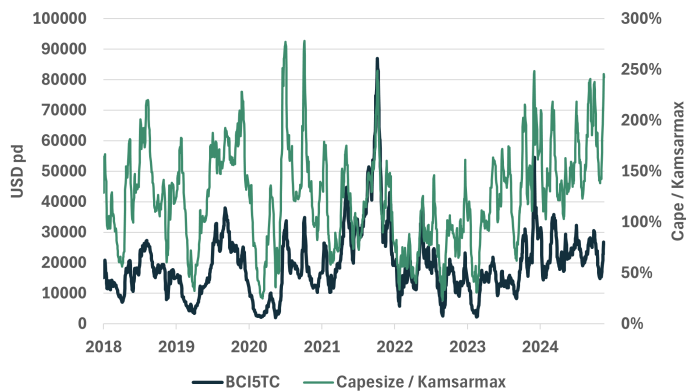
Bernhard Baardson

Capesize/Newcastlemax

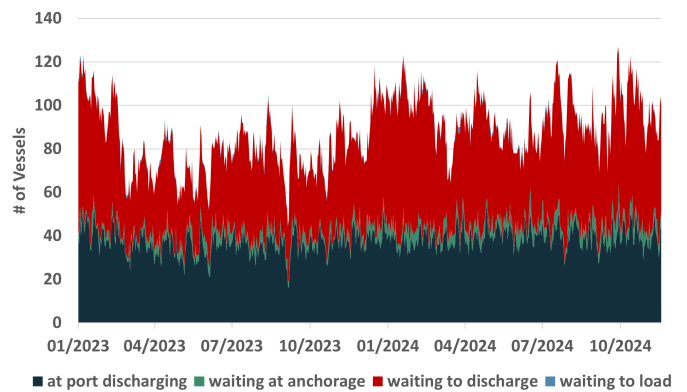
In our previous report two weeks ago, we opined that the ongoing rally was likely to peak at lower levels than the previous one in late September (30.598 USDpd).

The Capesize index ratio to the Kamsarmax index has risen to levels that often mean the top is in, which looks like will be the case given the last days sharp drop in physical and FFAs. China's imported iron ore consumption lead (lower right chart) suggests the market is entering a topping phase.

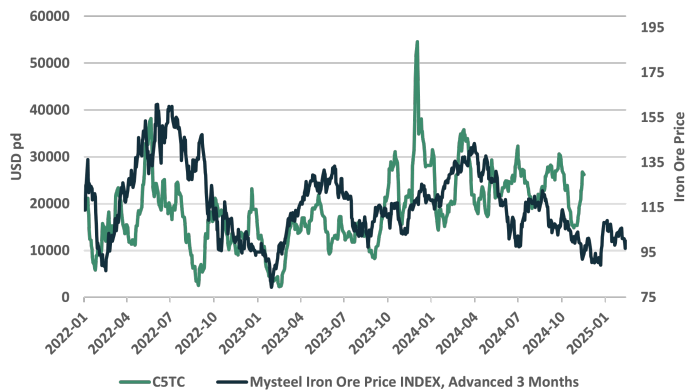
Capesize / Kamsarmax Ratio vs BCI5TC



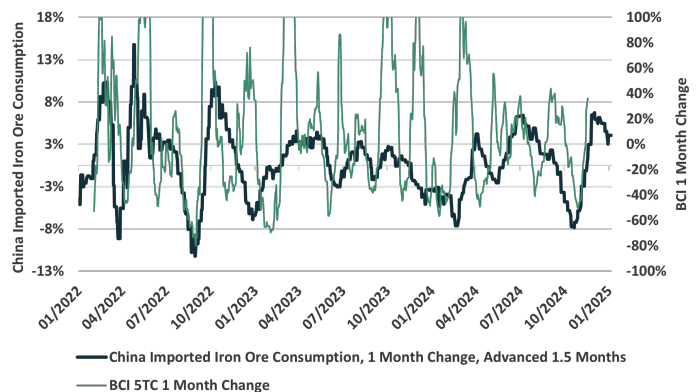
China Congestion



Iron Ore Price Lead vs BCI5TC



China Imported Iron Ore Consumption Lead vs BCI5TC

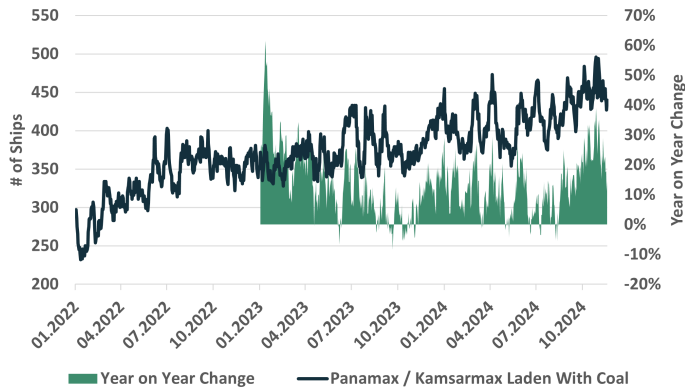


Panamax/Kamsarmax

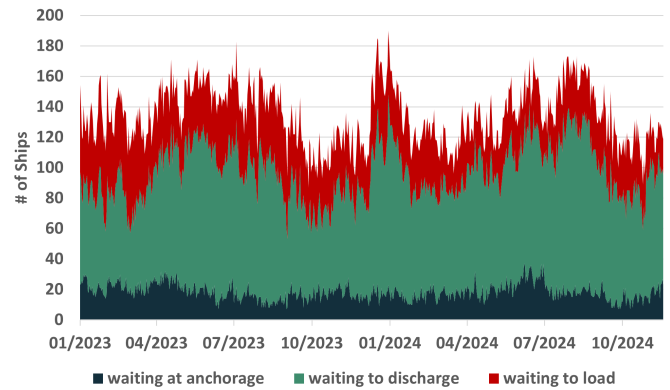
- Vessels sailing towards Brazil or the US continue to fall and remain negative year on year.
- Global congestion levels on the loading side are around the lowest levels seen since the start of 2023. Congestion levels on the discharging side have increased a bit but remain below the average level since the start of 2023.
- Coal volumes are up significantly year on year, but they do not outweigh the weakness in the longer haul voyages.

We are at a point seasonally where the market usually bounces. However, the overall picture is weak, so the next significant rally might have to wait until February next year at the start of the Brazilian Soybean season - which as of now is forecasted to be at "strong" or "exceptional" levels by the IGC and AMIS.

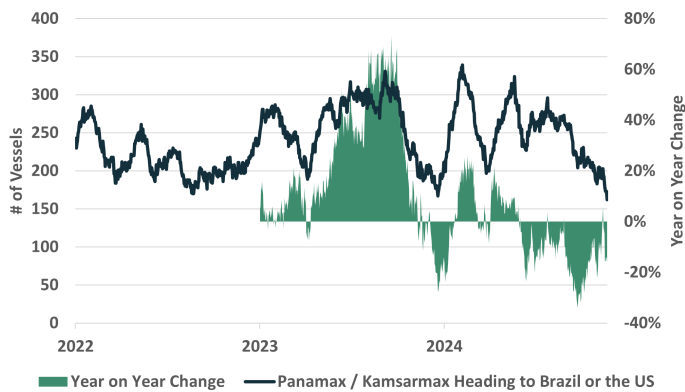
Panamax / Kamsarmax Laden With Coal



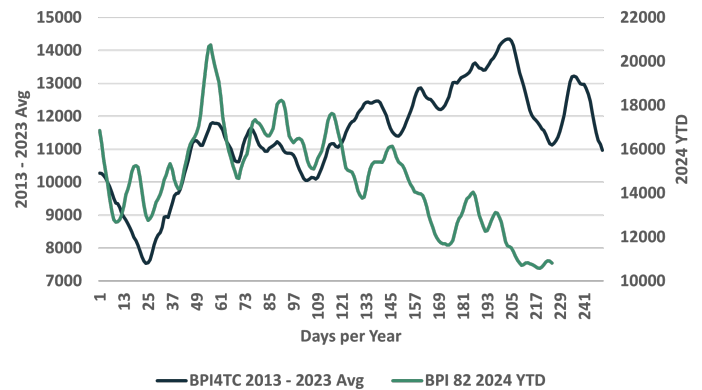
Panamax / Kamsarmax Global Congestion



Panamax / Kamsarmax Heading to Brazil or the US, and % YoY Change



Panamax / Kamsarmax Seasonal Average

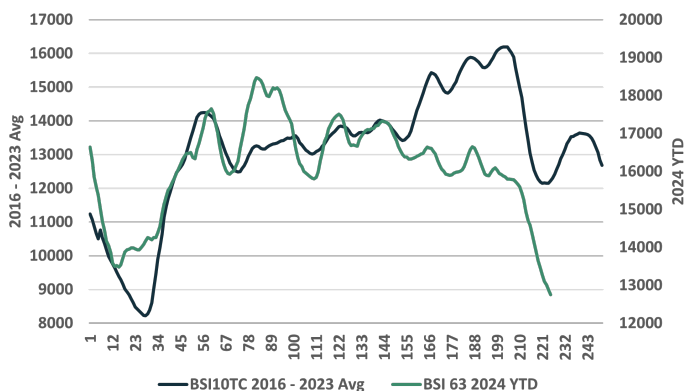


Supramax/Ultramax

Overall it is not a strong picture. Demand growth both in terms of shipment volumes and ton-time has dropped significantly in the last months, industrial metals prices have trended down since late September, and the Brazil+US grain season is weaker than last year.

Seasonality suggests the market could bounce from current levels, but overall we expect the market to continue trending down until the beginning of February next year.

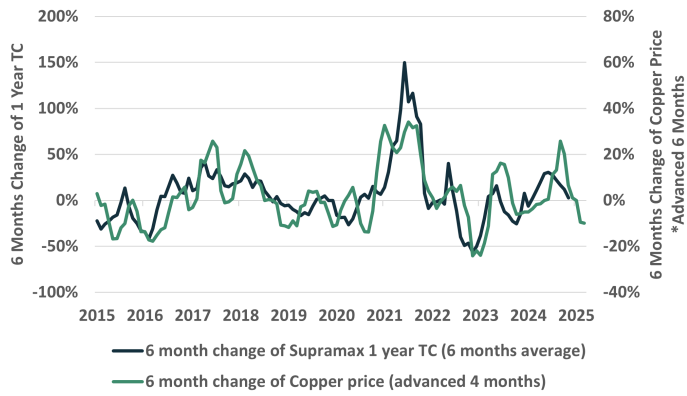
Supramax Seasonal Market Movement



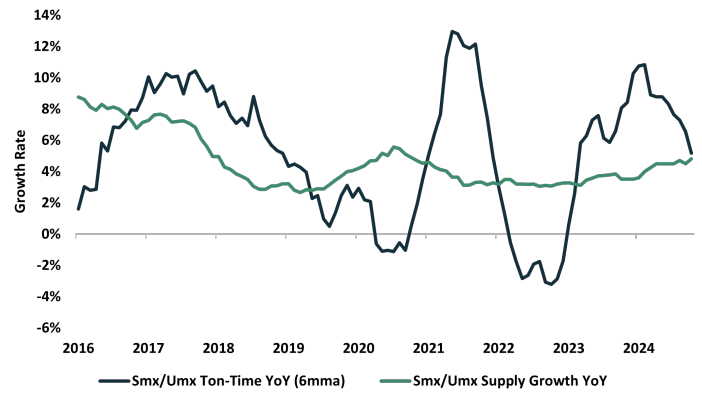
Supramax / Ultramax Heading to Brazil or the US



Copper Price Lead vs Supramax 1 Year TC 6 Months Change



Supramax / Ultramax Ton-Time Growth vs Supply Growth





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